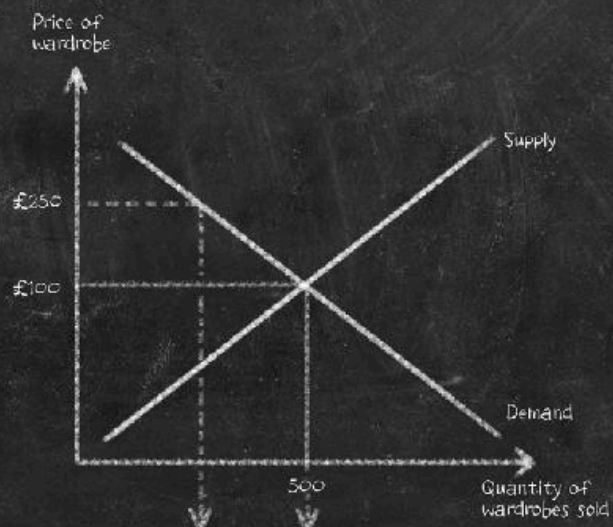


# Consumer surplus

While a woman is out shopping, she sees exactly the right-sized wardrobe for her bedroom. She would be willing to pay £250 for it, but the price is just £100. As a result, the woman enjoys a consumer surplus of £150 – the difference between what she would be willing to pay and what she actually pays.

At very high prices, only a few of these wardrobes would be sold to those with high 'willingness to pay'. At a price of £100, those individuals gain a large consumer surplus, but if a total of 500 wardrobes sold across the whole market is ranked by surplus, the 500th will be sold to someone willing to pay exactly £100 – for more to be sold the price would have to be lower, inducing people with a 'willingness to pay' below £100 to buy one. Adding up the consumer surplus of each buyer gives us the total consumer surplus across the entire wardrobe market. Economists believe this is a measure of economic well-being: when it is high, consumers' desires are being satisfied well.



This person would be willing to pay £250 but gets the wardrobe for £100

Last person to buy is only willing to pay exactly £100